**Table 53.10** Trading Tactics

| Trading Tactic | Explanation |
|---|---|
| Measure rule | Measure the height of the roof from central peak to horizontal bottom. For upward breakouts, add the height to the price of the peak to get a target. For downward breakouts, subtract the height from the bottom of the pattern to get a target. The bottom portion of the table shows how often the measure rule works using various heights. |
| Stop location | Use Table 53.7 to help you decide where to place a stop. |
| Avoid trading | With such poor performance, perhaps you should look elsewhere for a better performing chart pattern. |

| Target | Up Breakout | Down Breakout |
|---|---|---|
| Percentage reaching half height target | 76% | 81% |
| Percentage reaching full height target | 62% | 63% |
| Percentage reaching 2× height | 41% | 29% |
| Percentage reaching 3× height | 34% | 14% |

As you would expect, the closer the computed target is to the breakout, the better than chance of reaching it. For example, using half the height of the roof after an upward breakout, price will reach or exceed the target 76% of the time. Using three times the height of the roof, price will reach the target, on average, about a third of the time (34%).

Of course, if you don't place a stop, the chances increase that if you hold onto the position long enough, it will reach the target you set. They key is to try to achieve the target as quickly as possible so you can find a new pattern, set a new target, and make lots of money trading.

Once you have found a target, compute the distance from the roof to the target as a percentage of the current price and then consult Table 53.3.

For example, if the distance to the target is 5 and the breakout price (current price) is 50, that's a 10% move. Let's also suppose it's an upward breakout in a bull market. Table 53.3 says that 42% of roofs will fail to see price rise